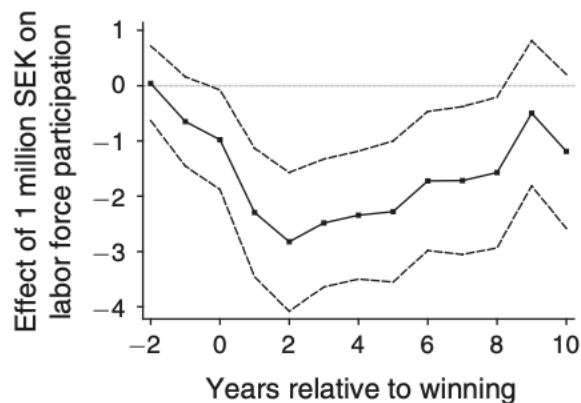
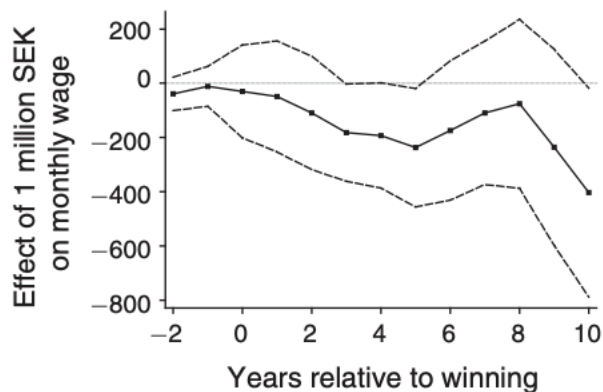


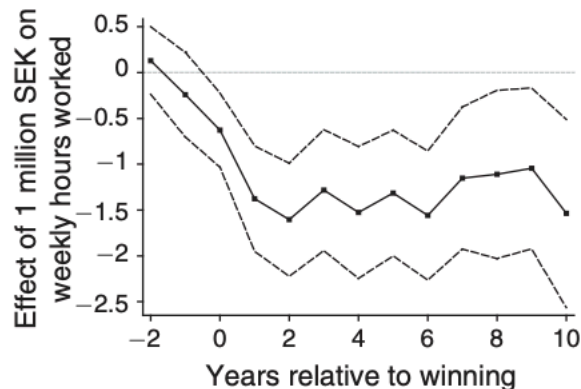
Panel A. Effect on extensive margin



Panel B. Effect on wages



Panel C. Effect on hours worked



Panel D. Wages and hours decomposition

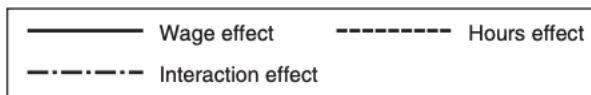
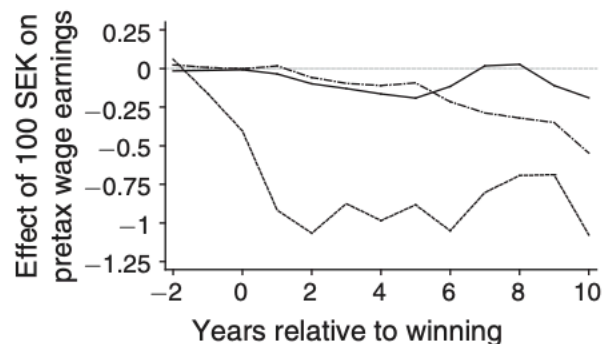


FIGURE 2. MARGINS OF ADJUSTMENT

Notes: Panels A–C report estimates obtained from equation (2) estimated for some of the different margins of adjustment discussed in Section IIIB. Each year corresponds to a separate regression. The dashed lines in panels A–C display 95 percent confidence intervals. Panel D reports the wage-hours decomposition described by equation (3) for each year separately, but using lagged values from $t = -3$ rather than $t = -1$.